

Accounting for Internal Equipment Billing & Inflation Reserve

An Illustrative Process Guide — May 202X

INTERNAL RATE SCHEDULE — MAY 202X

Unit #D06 Dozer

Rate Component	Hourly Rate
Operating Costs	\$80 / hr
Ownership / Standby Rate*	\$31 / hr
Market Depreciation Premium	\$19 / hr
Burdened Internal Rate	\$130 / hr
Full Standby Rate	\$50 / hr

Unit #350 Excavator

Rate Component	Hourly Rate
Operating Costs	\$60 / hr
Ownership / Standby Rate*	\$25 / hr
Market Depreciation Premium	\$15 / hr
Burdened Internal Rate	\$100 / hr
Full Standby Rate	\$40 / hr

* Ownership/Standby Rate incorporates historical depreciation as its basis for asset cost recovery.

PHASE 1 - MONTHLY UTILIZATION LOG DATA

MAY 202X

Total Utilization Logs Collected

Unit #D06 Dozer Logs
Job #26-01: 40 Run Hours | 5 Standby Hours
Job #26-04: 30 Run Hours | 2 Standby Hours

Run Hours: 40 + 30 = 70 hrs
Standby Hours: 5 + 2 = 7 hrs
Total Hours Logged: 77 hrs

Unit #350 Excavator Logs
Job #26-01: 50 Run Hours | 0 Standby Hours
Job #26-15: 20 Run Hours | 5 Standby Hours

Run Hours: 50 + 20 = 70 hrs
Standby Hours: 0 + 5 = 5 hrs
Total Hours Logged: 75 hrs

PHASE 2 — JOB COST CALCULATIONS

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Equip. Utilization Hours × Internal Rates

Job #26-01 — Hwy 99
Total Utilization Hours: 95
Dozer: 40 hrs × \$130 + 5 hrs × \$50 = \$5,450
Excavator: 50 hrs × \$100 = \$5,000

Total: \$10,450

Job #26-04 — Retail Prep
Total Utilization Hours: 32
Dozer: 30 hrs × \$130 + 2 hrs × \$50 = \$4,000

Total: \$4,000

Job #26-15 — Subdivision
Total Utilization Hours: 25
Excavator: 20 hrs × \$100 + 5 hrs × \$40 = \$2,200

Total: \$2,200

PHASE 3 — RECORD APPLIED EQUIP. COSTS

MAY 202X

Monthly Entries — \$16,650

DR 5210 | CR 5250

Unit #D06 Dozer Split
Applied Equip. Operating Costs: \$5,600
Applied Ownership/Standby Rate: \$2,387
Applied Equip. Mkt. Dep. Premium: \$1,463

Total Applied Costs: \$9,450

Unit #350 Excavator Split
Applied Equip. Operating Costs: \$4,200
Applied Ownership/Standby Rate: \$1,875
Applied Equip. Mkt. Dep. Premium: \$1,125

Total Applied Costs: \$7,200

PHASE 4 — RECORD ACTUAL (INDIRECT) EQUIP. COSTS

MAY 202X

Monthly Entries — \$13,872

DR 6150 / 6160 | CR Cash or AP

Unit #D06 Dozer
Equipment Fuel & Lubricants: \$5,200
Equipment Depreciation: \$2,387

Total Indirect Cost Pool: \$7,587

Unit #350 Excavator
Equipment Fuel & Lubricants: \$4,410
Equipment Depreciation: \$1,875

Total Indirect Cost Pool: \$6,285

PHASE 5 — EQUIPMENT RESERVE ALLOCATION & RESTRICTED CAPITAL TRANSFER

MAY 31, 202X

Cash Reservation & Equity Entry

Sum Mkt. Dep. Premiums/Inflation Reserve:
Dozer (D06): \$1,463
Excavator (350): \$1,125
Total to Transfer: \$2,588

Banking Move:
DR 1050 • Bank: Equipment Inflation Reserve Fund \$2,588
CR 1040 • General Checking \$2,588

GL Entry Booking:
DR 3250 Equity: Internal Fleet Allocations \$2,588
CR 3300 Equity: Reserve for Equipment Inflation \$2,588

Closing True-Up Entries

Entries below are broken out by individual cost component for transparency and ease of review.

Market Depreciation Premium Reversal Calculation			
Job #26-01 — D6 Dozer	45 hrs × \$19		\$855
Job #26-01 — 350 Excavator	50 hrs × \$15		\$750
Job #26-04 — D6 Dozer	32 hrs × \$19		\$608
Job #26-15 — 350 Excavator	25 hrs × \$15		\$375
Total			\$2,588
Applied vs Actual Variance Reconciliation			
Total Applied Costs	(\$9,450 + \$7,200)		\$16,650
Less Applied Mkt. Dep. Prem.	(\$1,463 + \$1,125)		\$2,588
Net Applied Costs	(\$9,450 – \$1,463 + \$7,200 – \$1,125)		\$14,062
Less Actual Costs	(\$7,587 + \$6,285)		\$13,872
Difference			\$190
Job #26-01 — D6 Dozer	(45 hrs/77 hrs × .5844 × \$400)		\$233.76
Job #26-04 — D6 Dozer	(32 hrs/77 hrs × .4156 × \$400)		\$166.24
Job #26-01 — 350 Excav.	(50 hrs/75 hrs × .6667 × \$210)		(\$140)
Job #26-15 — 350 Excav.	(25 hrs/75 hrs × .3333 × \$210)		(\$70)
Net Over/(Under) Variance			\$190*
* Variances within ±5% of actual costs are generally acceptable. Variances of 5–10% warrant investigation; those exceeding 10% require immediate corrective action. Applied vs. actual equipment cost variances should be reviewed and reconciled monthly.			

Clear Applied Cost Accounts & Adjust for Over/Under Variance	
DR 5250-D06 Applied Equipment Costs	\$7,587.00
DR 5250-350 Applied Equipment Costs	\$6,285.00
DR 5250-D06 Applied Equip. Mkt. Dep. Premium	\$1,463.00
DR 5250-350 Applied Equip. Mkt. Dep. Premium	\$1,125.00
DR 5250 Job #26-01 Applied Equipment Costs	\$233.76
DR 5250 Job #26-04 Applied Equipment Costs	\$166.24
DR 5210 Job #26-01 Equipment Job Expense	\$140.00
DR 5210 Job #26-15 Equipment Job Expense	\$70.00
Total DR:	\$17,070.00
Clear Indirect Accounts & Adjust for Over/Under Variance	
CR 5210 Equip Job Expense · Job #26-01	\$1,605.00
CR 5210 Equip Job Expense · Job #26-04	\$608.00
CR 5210 Equip Job Expense · Job #26-15	\$375.00
CR 6150 Equipment Fuel & Lubricants	\$9,610.00
CR 6160 Equipment Depreciation	\$4,262.00
CR 5210 Job #26-01 Equipment Job Expense	\$233.76
CR 5210 Job #26-04 Equipment Job Expense	\$166.24
CR 5250 Job #26-01 Applied Equipment Costs	\$140.00
CR 5250 Job #26-15 Applied Equipment Costs	\$70.00
Total CR:	\$17,070.00

Dec. 31, 202X Equity Offset:
DR 3200 Equity: Retained Earnings \$2,588
CR 3250 Equity: Internal Fleet Allocations \$2,588
Restricts Capital on Balance Sheet

1050 • Bank: Equipment Inflation Reserve Fund
Holds \$2,588 Liquid Cash*

3300 • Equity: Reserve for Equipment Inflation
Holds \$2,588 Capital Value

* Keep money safe by investing in low-risk, fixed-income options such as High-Yield Savings, CDs, or Treasury Bills — never risk this fund in volatile markets.

GL Account Number Key

Asset Accounts			Indirect Equip. Accounts		
1040	General Checking	Bank Asset	6100	Equipment Fleet Costs	Parent Account
1050	Bank: Equipment Inflation Reserve Fund	Bank Asset	6150	Equipment Fuel & Lubricants	Sub-Account
Cost of Goods Sold Accounts			6160	Equipment Depreciation	Sub-Account
5200	COGS: Equipment Cost Recovery Pool	Parent Account	Equity Accounts		
5210	COGS: Equipment Job Expense	Sub-Account	3200	Equity: Retained Earnings	Equity
5250	COGS: Applied Equipment Costs	Sub-Account (contra)	3250	Equity: Internal Fleet Allocations	Equity (contra)
5299	Equipment Variance Clearing (optional)	Sub-Account (contra)	3300	Equity: Reserve for Equipment Inflation	Equity

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